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Key Highlights Global Pulp Leader Suzano Announces Additional +$50/MT Hardwood Pulp Hike for Europe & Americas Effective Nov 1 (Lifting European List to $1,410/MT) × China Leader Sun Paper 9M Net Profit Surges +16.88% YoY (RMB 921M in Q3, Validating Laos Integrated Moat) × North American Packaging Earnings Divergence: Smurfit Westrock Sinks 10% on Q3 Cost Inflation vs. PCA 93% Operating Rate Cash Conversion × International Paper Q3 Call Confirms Acceleration of EMEA ($6B / London Spin-Off) Divestiture Ahead of Nov 3 Capital Markets Day × EU PFHxA Ban Enters Routine Customs Enforcement; CHP CircuWell Booked to 2027Q1 & Zhongxin Accelerates 50k-MT Indonesia Molded Fiber Expansion × Brent Crude Builds Base at $73.80/bbl; Taiwan Mills Reach 49.2% Biomass SRF Substitution to Lock Steam at NT$718/t

Suzano Nov Global BHKP Hike

+$50 / MT (EU & Americas)

European list lifted to $1,410/MT · China port stocks drop for 16th week to 2.018M MT; Asian BHKP spot rises to USD 632/MT

Sun Paper 9M Profit Surges

+16.88% YoY (RMB 921M Q3)

Q3 net profit hits RMB 921M · Laos integrated forest-pulp-paper base shields margins from fiber volatility

Smurfit Westrock Q3 Misses

Plunges 10% (Cost Inflation)

Oct 28 earnings reveal merger friction and fiber/energy inflation · Contrasts sharply with PCA's 93% rate beat

IP Accelerates EMEA Divestiture

$6B Valuation (Dual-Track)

Oct 30 call confirms acceleration of former DS Smith EMEA London spin-off or PE buyout · Focuses on US core

EU PFHxA Routine Enforcement

Zero-PFAS Era (Booked to Q1)

EU customs enforce 25 ppb fluorine checks · CHP CircuWell fully booked; Zhongxin builds 50k-MT Indonesia plant

Brent Crude Base at $73.80

$73.80 / bbl (Low Energy Moat)

Low oil sustains savings in AKD sizing and SBR latex · Taiwan mills push SRF substitution to 49.2% (steam NT$718/t)

1. Executive Summary & Key Strategic Insights

1. **Global Market Pulp Leader Suzano Announces Additional +$50/MT Hardwood Pulp Hike for Europe & Americas Effective November 1, Lifting European List Price to $1,410/MT**: Between October 28 and 29, Brazilian pulp giant Suzano officially notified global customers of a fresh +$50/MT price increase for bleached eucalyptus kraft pulp (BEKP/BHKP) in Europe and the Americas effective November 1, raising the European CIF benchmark to $1,410/MT while signaling an additional +$20/MT hike for Asian markets. Driven by European seasonal restocking, Nordic mill curtailments, and 16 consecutive weeks of Chinese port inventory drawdowns, the move cements an upward Q4 pricing floor across global fiber markets.
2. **China's Integrated Leader Sun Paper (002078.SZ) Posts Stellar Q3 Earnings, with 9M Net Profit Up +16.88% YoY and Q3 Net Profit Reaching RMB 921M**: Sun Paper released its Q3 2026 financial report on October 28, outperforming consensus across both revenue and net income. Nine-month net profit attributable to shareholders rose +16.88% YoY. The results validate Sun Paper's "Laos Forest-Pulp-Paper

Base + Shandong & Guangxi Dual Hubs" strategy, where high woodchip and virgin pulp self-sufficiency insulated margins against raw material fluctuations.

3. **North American Packaging Earnings Divergence: Smurfit Westrock (SW) Plummets 10% on Q3 Miss and Cost Inflation, Contrasting Sharply with PCA's Cash Conversion**: Smurfit Westrock reported Q3 earnings on October 28 that missed Wall Street expectations due to "unprecedented cost inflation" in fiber, energy, and labor alongside post-merger integration friction, sending shares down 10%. In stark contrast to Packaging Corp of America's (PKG) stellar Q3 beat (+5.2% shipment growth, 93% mill operating rate) the prior week, the divergence proves that domestically focused, highly modernized US mills convert the $839/ST raw spread into cash flow far more effectively than sprawling transatlantic conglomerates.
4. **International Paper (IP) Holds Q3 Earnings Call Ahead of Nov 3 Capital Markets Day, Accelerating EMEA Packaging Divestiture**: During its October 30 Q3 earnings call, International Paper highlighted persistent European energy and restructuring headwinds, confirming that management is accelerating the dual-track separation of its EMEA Packaging unit (former DS Smith assets)—weighing an independent London Stock Exchange listing against ~$6B private equity buyout bids from Lone Star and Atlas Holdings—to concentrate capital on high-margin North American containerboard.
5. **North American Bleached Board Shakeup: Clearwater Paper Flags Operational Bottlenecks at Acquired Augusta Mill**: As reported by *Packaging Dive* on October 27, Clearwater Paper disclosed unexpected equipment failures and operational bottlenecks at its Augusta, Georgia bleached paperboard (SBS) mill—acquired earlier from Graphic Packaging—prompting management to evaluate strategic restructuring options and tightening North American folding carton board supply.
6. **EU PFHxA Ban Enters Week 2 of Mandatory Customs Enforcement; CHP CircuWell Booked into 2027Q1 as Zhongxin Accelerates 50k-MT Indonesia Molded Fiber Hub**: Entering the second week of mandatory enforcement under Regulation (EU) 2024/2462 (effective October 18), European ports including Rotterdam and Hamburg are actively screening food contact paper for the 25 ppb PFHxA limit. Chung Hwa Pulp's (CHP 1905) fluorine-free CircuWell barrier board now enjoys order visibility into Q1 2027, while Chinese molded fiber leader Zhongxin (603091.SH) accelerated construction of its 50,000-MT bagasse tableware base in Indonesia to bypass Western tariffs and capture plastic-ban demand.
7. **China Imported Virgin Pulp Spot Prices Step Up as Main Port Stocks Fall for 16th Consecutive Week to 2.018M MT**: Bolstered by Suzano's November hike announcement, China imported NBSK spot rose +RMB 20/MT to USD 700/MT (RMB 4,960/MT), while imported BHKP spot climbed +RMB 15/MT to USD 632/MT (RMB 4,490/MT), maintaining a healthy NBSK-BHKP spread of USD 68/MT (RMB 470/MT). Mainstream port inventories fell for the 16th straight week to 2.018M MT (-22k MT WoW). Meanwhile, French environmental giant Veolia won the industrial water treatment contract for Arauco's 3.5M-MT Sucuriú pulp project in Brazil, and Sweden's Södra opened a new US sales office near Boston.
8. **Double 11 E-Commerce Packaging Reaches Peak Velocity; Cross-Strait Containerboard Hikes (+RMB 100/MT) Stick and Lift Domestic OCC to RMB 2,050/MT**: Late October marked the final box-making sprint for the Singles' Day shopping festival. Two cumulative waves of +RMB 100/MT containerboard hikes by Nine Dragons, Shanying, Long Chen (1909), and YFY (1907) were fully billed, lifting secondary box plant

utilization to 86% and pushing China Grade-A domestic OCC up +RMB 5/MT to RMB 2,050/MT (USD 288/MT).

9. **Brent Crude Builds Base at $73.80/bbl as Taiwan Mills Lift SRF Biomass Substitution to 49.2%, Locking Steam Cost at NT$718/t**: ICE Brent crude futures settled at $73.80/bbl (WTI at $70.10/bbl), preserving lower chemical costs for AKD sizing, SBR latex, and PE extrusion resins. Simultaneously, Taiwan's Big 4 paper mills elevated Solid Recovered Fuel (SRF) biomass co-firing to 49.2%, locking co-generation steam costs at a historic low of NT$718/ton ($22.3/MT).
10. **Container Freight Index (SCFI) Eases to 3,310 Points with Smooth Holiday Schedules; USD/TWD at 32.150 Enhances Q4 Export FX Gains**: The Shanghai Containerized Freight Index (SCFI) edged down 0.5% WoW to 3,310.20 points (USWC $6,390/FEU, USEC $9,180/FEU) and the Baltic Dry Index (BDI) settled at 1,830 points, with vessel schedule reliability above 85%. The New Taiwan Dollar closed at 32.150 per USD (-3 cents WoW), providing favorable FX translation for Cheng Loong's Vietnam packaging exports and CHP's European specialty paper sales.

2. Key Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics & Structural Trends
China Imported NBSK Spot Price	**USD 700 / ton (RMB 4,960)**	2026-10-30	+RMB 20	Port stocks fall for 16th straight week to 2.018M MT; Suzano Nov hike lifts NBSK to $700 milestone
China Imported BHKP Spot Price	**USD 632 / ton (RMB 4,490)**	2026-10-30	+RMB 15	Suzano announces +$50/MT Nov hike for EU/Americas; Asian short-fiber spot firms to RMB 4,490
SHFE NBSK Futures Settlement (SP)	**USD 689 / ton (RMB 4,905)**	2026-10-30	+RMB 27	Overseas list price hikes propel active contract past RMB 4,900; basis healthy at +USD 11 (RMB +55)
China Mainstream Port Pulp Inventory	**2.018M tonnes**	2026-10-30	-22k tonnes	16th consecutive weekly net outflow, approaching 2.0M MT floor on steady Double 11 & year-end offtake
NBSK - BHKP Spot Spread	**USD 68 / ton (RMB 470)**	2026-10-30	+RMB 5	Spread holds at RMB 470/MT, safely below the RMB 500 substitution threshold; furnish mix stable
Europe BHKP Producer List (CIF)	**USD 1,410 / ton**	2026-10-30	+USD 50	Suzano announces +$50/MT Nov increase for Europe & Americas, lifting European list from $1,360 to $1,410

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics
US 11# OCC Export (US West Coast FAS)	**USD 135–137 / short ton (RMB 960–975)**	2026-10-30	Flat	Taiwanese and SE Asian containerboard mills maintain steady Q4 contract procurement
US 11# OCC Export (US East Coast FAS)	**USD 137–139 / short ton (RMB 975–990)**	2026-10-30	Flat	Holiday generation steady across US East Coast; transatlantic vessel slots plentiful
US Containerboard vs OCC Raw Spread	**USD 839 / short ton**	2026-10-30	Record Peak	PCA's 93% operating rate monetizes $839 spread; Smurfit Westrock hurt by non-fiber cost inflation
China Domestic OCC Mill-Gate (Grade A)	**USD 288 / ton (RMB 2,050)**	2026-10-30	+RMB 5	Peak Double 11 box shipments and realized board hikes push Grade-A domestic OCC to RMB 2,050
Taiwan Domestic OCC Mill-Gate Benchmark	**USD 130.6 / ton (NT$ 4,200)**	2026-10-30	Flat	Cheng Loong, Long Chen, and YFY run domestic lines at full capacity; gate price steady at NT$4,200

2.3 Paperboard & Finished Products

Region	Grade / Product	Action / Amount (USD-First)	Effective Date	Impact & Scope
Europe / Americas	Bleached Hardwood Pulp (BHKP)	**Suzano announces +$50/MT Nov price hike**	2026-11-01 Effective	European list price reaches $1,410/MT; Asian markets poised to follow, cementing Q4 pulp uptrend
China	Cultural, Packaging & Dissolving Pulp	**Sun Paper Q3 net profit surges +16.88% YoY to RMB 921M**	2026-10-28 Release	Laos integrated pulp-paper base shields margins; Shandong & Guangxi specialty lines at capacity
US / Europe	Containerboard & Corrugated Boxes	**Smurfit Westrock sinks 10% on Q3 miss vs. IP EMEA spin-off**	2026-10-28~30	SW hit by cost inflation & merger friction; IP accelerates EMEA (DS Smith) London spin-off or $6B sale
North America	Bleached Paperboard (SBS / Folding)	**Clearwater flags Augusta mill failures & weighs restructuring**	2026-10-27 Disclosed	Unexpected outages at ex-Graphic Packaging mill hurt earnings, tightening US SBS folding board supply
EU / Taiwan	PFAS-Free Greaseproof & Barrier Board	**EU PFHxA Ban Week 2: CHP CircuWell booked to 2027Q1**	2026-10-30 Market	Strict 25 ppb fluorine border screening in EU; Taiwanese non-fluorinated barrier lines running full out
SE Asia / China	Bagasse Molded Fiber Tableware	**Zhongxin accelerates 50k-MT Indonesia molded fiber plant**	2026-10-28 Filing	Mitigates Western trade tariffs and secures ASEAN bagasse feedstock for global plastic-free demand

2.4 Energy, Foreign Exchange & Logistics Radar

Category	Indicator Point	Latest Quote (USD-First)	Trend	Strategic & Financial Implications for Paper Chains
Energy	ICE Brent Crude Futures	**$73.80 / barrel**	-0.7% Base	Crude holds $73–74 low base; AKD sizing, SBR latex, and bunker surcharges remain favorable
Energy	NYMEX WTI Crude Futures	**$70.10 / barrel**	Rangebound	WTI consolidates near $70; lower PE extrusion resin costs support composite food cup margins
Forex	USD / TWD Exchange Rate	**32.150**	TWD -0.03	Mild TWD depreciation boosts Q4 USD export conversion for CHP specialty paper and Cheng Loong
Forex	USD / CNY (Onshore)	**7.1280**	CNY -0.003	Stable RMB at 7.128 supports export competitiveness for Sun Paper, Bohui FBB, and Zhongxin
Forex	EUR / USD Exchange Rate	**1.0840**	Rangebound	Steady EUR alongside high European natural gas/carbon costs preserves Asian PFAS-free export edge
Forex	USD / BRL Exchange Rate	**5.1580**	BRL Softens	Softer Real lowers USD-denominated forestry/labor costs in Brazil, boosting Suzano EBITDA margins
Freight	Shanghai Containerized Freight (SCFI)	**3,310.20 pts (USD)**	-0.5% WoW	USWC $6,390/FEU, USEC $9,180/FEU; ample transoceanic container slots with >85% schedule reliability
Freight	Baltic Dry Index (BDI)	**1,830 pts**	-0.5%	Dry bulk index steady; woodchip carrier and open-hatch bulk pulp vessel charter rates well-behaved
Energy	Taiwan Paper Mills Co-Gen Steam Cost	**NT$ 718 / ton**	Locked Low	Biomass SRF substitution rises to 49.2%, locking industrial steam generation at NT$718/t ($22.3/MT)
Energy	China Thermal Coal (Qinhuangdao 5500)	**USD 113.5 / ton (RMB 809)**	Steady	Ample winter utility stockpiles keep captive co-generation power costs stable across Chinese mills

2.5 Food Contact Paper, Barrier Coatings & Molded Fiber Radar

Product Segment	Spec & Target Application	Latest Price (USD-First / Local)	Trend Dynamics	Industry Implications & Supply/Demand
Folding Boxboard (FBB)	230–350g High-sizing cup/folding board	**USD 641 / ton (RMB 4,500)**	+RMB 15	Sun Paper and Bohui FBB lines running full out on Nov pulp hikes and holiday gift box/hot cup demand
PFAS-Free Greaseproof Paper	40–60g KIT 8–9 (Burger wraps/bags)	**USD 1,260–1,310 / ton (NT$ 40,500)**	+USD 10/ton	Routine EU PFHxA border checks drive European QSR and bakery chains to lock in long-term non-PFAS supply
Extensible Sack Kraft Paper	70–90g High-tensile (Shopping SOS bags)	**USD 860–890 / ton (NT$ 27,650)**	Firmly Upward	Black Friday and Christmas retail shopping bag procurement peaks across US, Europe, and Australia
Aqueous Bio-Barrier Dispersions	Water-based coating (PE/Foil alternative)	**USD 2,740–3,080 / ton**	Scale Efficiency	Volume procurement optimizes unit coating costs; adoption rises in non-aluminum cartons and cups
Bleached Bagasse / Bamboo Pulp	Molded fiber tray and clamshell feedstock	**USD 560–585 / ton (RMB 3,950–4,130)**	+USD 5/ton	Pre-crushing season tightness in Guangxi/Yunnan and Zhongxin's Indonesia stockpiling lift non-wood pulp
Finished Molded Fiber Clamshell	850ml PFAS-free takeaway box (FOB)	**USD 0.059–0.066 / pc**	Order Book Full	Export visibility extends to Jan 2027; BPI and EN 13432 certified PFAS-free tableware commands premium

3. Price Trends & Analytical Charts (5 High-Resolution SVGs)

Chart 1 | China Imported NBSK & BHKP Spot Prices and Fiber Spread Trajectory (2026-06 ～ 2026-10-30)

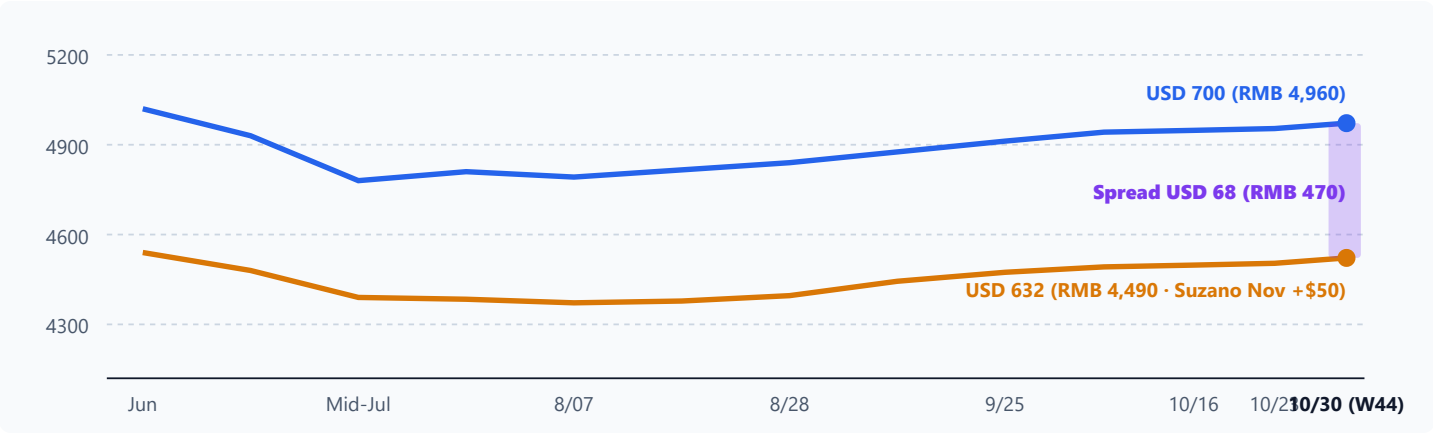


Chart 2 | North American Containerboard Spread ($839/ST) & Q3 Earnings Divergence (PCA 93% Rate Beat vs. Smurfit Westrock -10%)

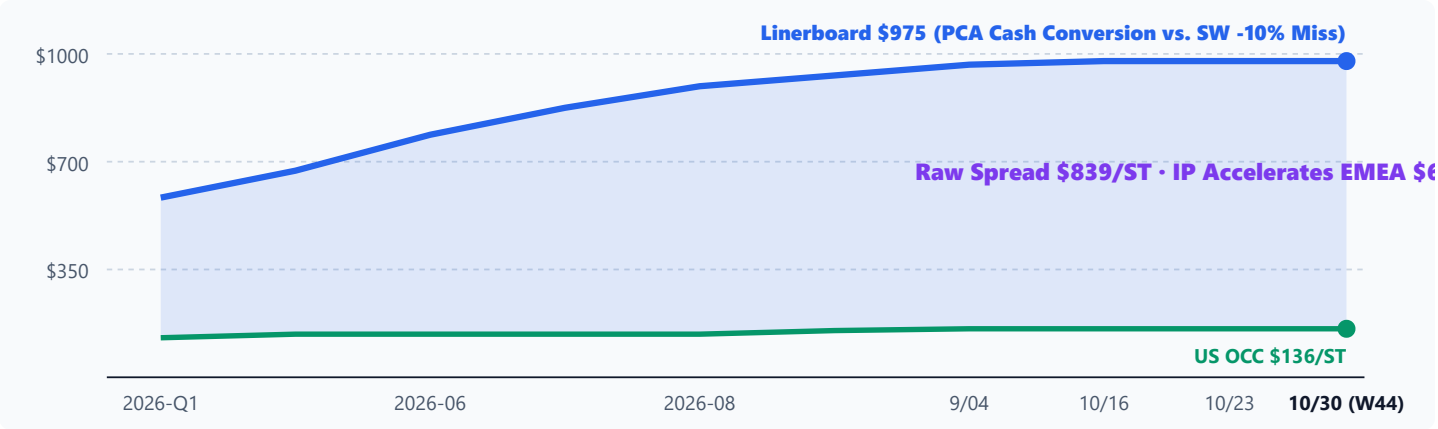


Chart 3 | Asian & Taiwan Paper Leaders Momentum: Sun Paper 9M Profit +16.88% & Taiwan Big 4 Double 11 Run (2026-10-30)

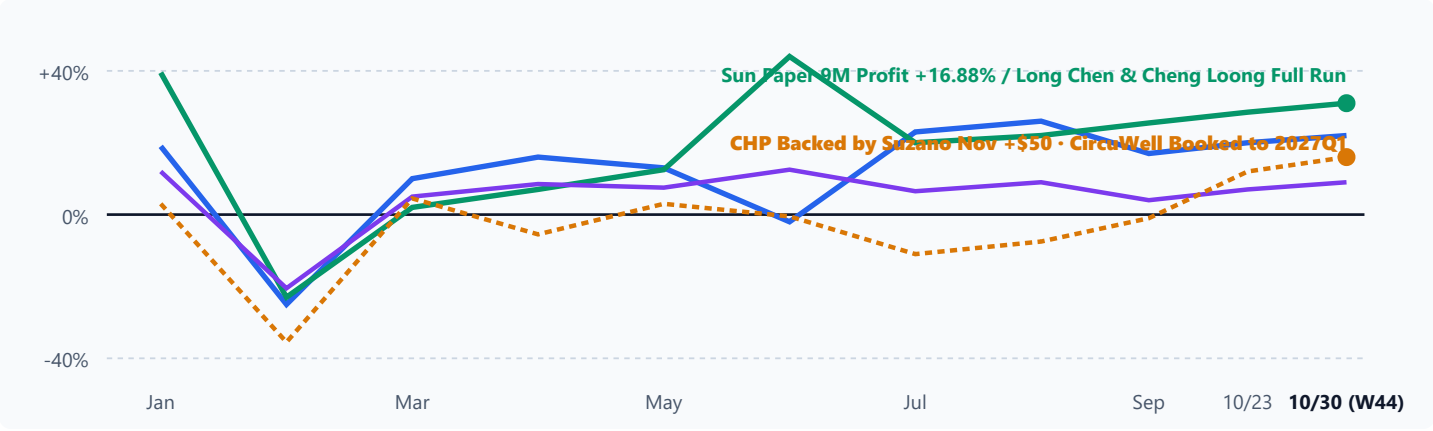


Chart 4 | Double 11 Containerboard & FBB Realization vs. ASEAN PFAS-Free Molded Fiber Expansion Index (2026-10-30)

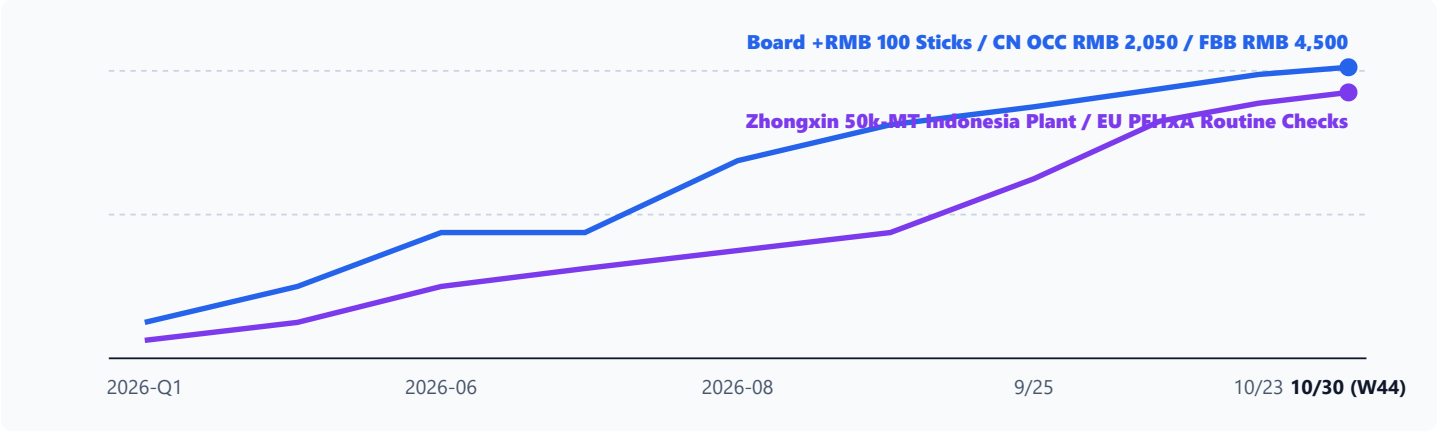
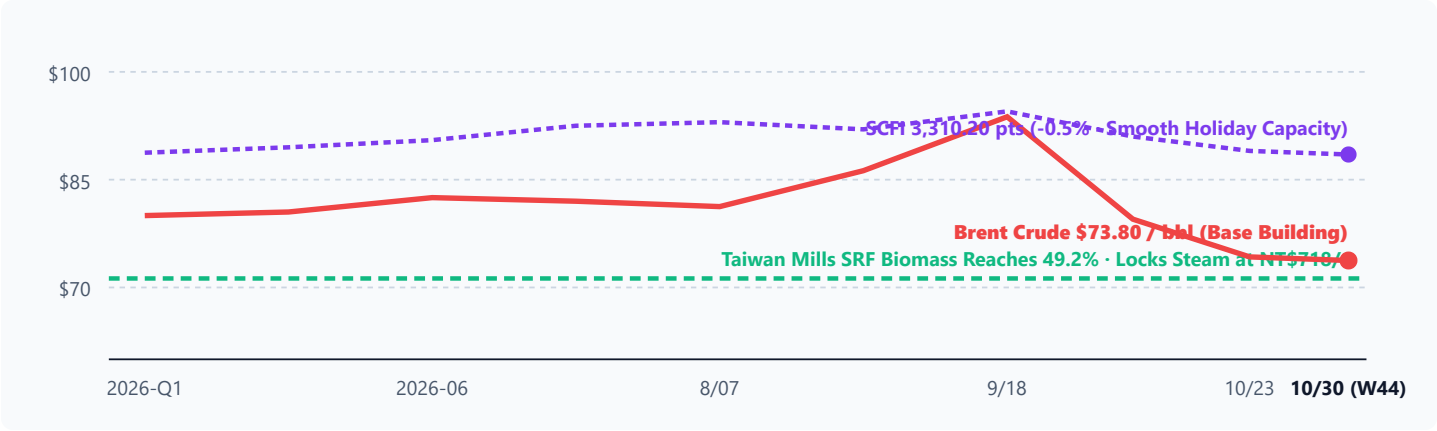


Chart 5 | Brent Crude Base at $73.80, SCFI Container Freight & Taiwan Co-Gen Steam Cost Monitor (2026-10-30)



3.6 Forward Outlook Matrix (Energy × Pulp × Paperboard)

Brent Crude Oil

$73.80 / bbl

1M: $71–77 | 3M: $70–79 | 6M: $70–78

Trend: Base Building · Cooler geopolitical risk benefits papermaking chemicals & bunker fees

China Imported NBSK Pulp

USD 700 / MT

1M: $700–720 | 3M: $705–730 | 6M: $680–710

Trend: Steadily Rising · Port stocks down 16 weeks to 2.018M MT; Nordic curtailments support NBSK

China Imported BHKP Pulp

USD 632 / MT

1M: $635–655 | 3M: $640–660 | 6M: $615–640

Trend: Bullish Push · Suzano announces +$50/MT Nov hike in EU/Americas (list $1,410)

US 11# Recovered Paper (OCC)

USD 135–137 / ST

1M: $135–142 | 3M: $138–146 | 6M: $130–140

Trend: Resilient Highs · Thanksgiving & Black Friday collection meets steady Asian year-end restocking

US Containerboard (Linerboard)

$975 / short ton

1M: $975–990 | 3M: $975–1000 | 6M: $955–985

Trend: Peak Divergence · Spot holds $975 peak; earnings diverge on cost control (PCA leads vs. SW lags)

Folding Boxboard (FBB)

USD 641 / MT

1M: $645–670 | 3M: $660–690 | 6M: $635–665

Trend: Seasonal Strength · Nov pulp hikes reinforce floor; EU PFHxA drives barrier board demand

4. Papermaking Raw Materials: Pulp & Recovered Paper

The global woodpulp market delivered a major bullish catalyst in the final week of October: **world-leading market pulp producer Suzano officially announced on October 28–29 a fresh +$50/MT price increase for bleached eucalyptus kraft pulp (BEKP) across Europe and the Americas effective November 1**, lifting the European CIF reference list price to **USD 1,410/MT** and signaling further upward adjustments for Asia. Following the full realization of September–October hikes, international pulp producers have firmly seized Q4 pricing power through disciplined supply management and European seasonal restocking.

Buoyed by overseas list hikes, China imported Northern Bleached Softwood Kraft (NBSK) spot breached the $700 threshold to reach **USD 700/MT (RMB 4,960/MT, +RMB 20 WoW)**, while Bleached Hardwood Kraft Pulp (BHKP) spot climbed to **USD 632/MT (RMB 4,490/MT, +RMB 15 WoW)**. On the Shanghai Futures Exchange (SHFE), the active softwood pulp futures contract surged +RMB 27/MT to settle at **RMB 4,905/MT (USD 689/MT)**, maintaining a healthy spot-futures basis of +RMB 55/MT (+USD 11/MT) and a balanced NBSK-BHKP spread of RMB 470/MT (USD 68/MT). Mainstream port inventories at Qingdao and Changshu recorded their **16th consecutive weekly drawdown, falling 22,000 MT to 2.018M MT**. Concurrently, French environmental services leader **Veolia won the industrial water treatment contract for Arauco's 3.5M-MT Sucuriú pulp mill in Brazil** (now 82.5% complete), while Swedish forestry group **Södra opened a North American sales office near Boston** to expand direct pulp and timber sales on the US East Coast.

In recovered fiber markets, US 11# OCC held steady at USD 135–137/ST FAS on the West Coast and USD 137–139/ST FAS on the East Coast. In mainland China, peak Double 11 e-commerce box deliveries drove active mill consumption, lifting Grade-A domestic OCC mill-gate prices by RMB 5/MT to **RMB 2,050/MT (USD 288/MT)**. Taiwan domestic mill-gate OCC prices remained stable at **NT$4,200/MT (USD 130.6/MT)**.

5. Finished Paper Markets: Containerboard, Cultural & Specialty Papers

North American paper and packaging markets witnessed a dramatic **Q3 earnings divergence** this week. On October 28, transatlantic packaging giant **Smurfit Westrock (NYSE: SW)** reported Q3 results that fell short of Wall Street expectations, triggering a **10% single-day stock plunge**. Management cited "unprecedented cost inflation" across fiber, energy, and labor at older mill assets, compounded by post-merger integration friction and a workplace fatality investigation in Virginia. This stood in sharp contrast to **Packaging Corporation of America (NYSE: PKG)**, which beat Q3 estimates the prior week on $2.18B in sales and a 93% operating rate—proving that under the same $975/ST linerboard price and $839/ST raw spread, highly modernized, domestically focused US mills convert pricing into cash flow far more efficiently than complex cross-border consolidators.

Simultaneously, **International Paper (NYSE: IP)** held its Q3 earnings call on October 30, addressing structural cost initiatives ahead of its **November 3 Capital Markets Day** and confirming the accelerated dual-track separation of its EMEA Packaging business (former DS Smith)—evaluating a London Stock Exchange spin-off alongside ~$6B private equity takeover bids from Lone Star and Atlas Holdings. Meanwhile, **Clearwater Paper (NYSE: CLW)** disclosed on October 27 that unexpected equipment failures at its newly acquired Augusta, Georgia bleached paperboard mill weighed on earnings, prompting a strategic review and tightening North American SBS folding carton supply.

In Asia, **Sun Paper (002078.SZ) reported standout Q3 financials on October 28, with Q3 net profit reaching RMB 921M and 9M net profit surging +16.88% YoY**, demonstrating the cost moat of its integrated Laos forest-pulp-paper complex. Across Greater China, two cumulative waves of +RMB 100/MT containerboard hikes by Nine Dragons, Shanying, Long Chen (1909), and YFY (1907) were fully realized during the Double 11 peak, while **Chung Hwa Pulp (1905)** gained further Q4 paper pricing momentum from Suzano's November +$50/MT pulp hike.

6. [Special Column] Global & Taiwan Food Packaging Insights (Bags, Cups, Molded Fiber & Folding Cartons)

6.1 TW Taiwan Market Focus: Routine EU PFHxA Enforcement Fuels Long-Term PFAS-Free Contracts & CHP Momentum

- **EU PFHxA Ban Enters Week 2; CHP CircuWell Booked to 2027Q1**: With Regulation (EU) 2024/2462 in mandatory effect since October 18, European ports are conducting routine 25 ppb total fluorine screening. Taiwanese bakery bags, fry cartons, and beverage cups bound for Europe have fully transitioned to non-fluorinated formulations, extending Chung Hwa Pulp's (1905) CircuWell aqueous barrier board order book into Q1 2027.
- **Suzano's +$50 November Hike Reinforces Specialty Paper Pricing**: Rising global hardwood pulp benchmarks provide strong cost support for Taiwanese food-grade white card, release liners, and greaseproof base papers.
- **Cheng Loong & YFY Sprint for Double 11 and Holiday Packaging**: Cheng Loong (1904) operated Taiwan and Vietnam box plants at full capacity for Double 11 and Thanksgiving retail orders, while YFY's (1907) Nippon Paper/Jebsen molded fiber and consumer packaging units saw strong compliant order inflows.

6.2 CN China Market Scan: Zhongxin Accelerates 50k-MT Indonesia Molded Fiber Plant; Sun & Bohui Lift FBB

- **Zhongxin (603091.SH) Fast-Tracks 50,000-MT Indonesia Bagasse Molded Fiber Hub**: To circumvent Western anti-dumping tariffs on Chinese paper plates and molded fiber tableware, industry leader Zhongxin accelerated its 50,000-MT bagasse tableware facility in Indonesia, leveraging local sugarcane bagasse feedstock and ASEAN tariff advantages.
- **Sun Paper & Bohui Food-Grade White Card Edges Higher**: Supported by November pulp hikes and early Lunar New Year gift box orders, China food-grade folding boxboard (FBB) rose RMB 15/MT to RMB 4,500/MT (USD 641/MT).

6.3 JP Japan Market Scan: Nippon Paper Non-Aluminum Carton Retail Trials & Lightweight Convenience Bags

- **Nippon Paper "Non-Aluminum Fuji-Pak" Advances in Retail Trials**: Nippon Paper's foil-free barrier carton is undergoing commercial qualification with major Japanese beverage and convenience store chains for Spring 2027 launches.

- **Convenience Chains Adopt Lightweight PFAS-Free Hot Food Bags**: FamilyMart and Lawson expanded adoption of 8% basis-weight-reduced mechanical greaseproof bags for winter hot food items.

6.4 US US Market Scan: Clearwater Augusta Mill Outage Tightens SBS Supply; QSRs Mandate TOF Audits

- **Clearwater Augusta Mill Bottlenecks Tighten SBS Supply**: Operational failures at Clearwater Paper's Augusta bleached board mill tightened short-term North American SBS supply for folding cartons and hot cups.
- **US QSR Giants Mandate Batch-Level TOF Testing**: Following the Maine PFAS contamination lawsuit against Huhtamaki and Sappi, major US fast-food chains now require batch-level Total Organic Fluorine (TOF) third-party lab certificates for all imported molded fiber and greaseproof wraps.

6.5 NZ/AU ANZ Market Scan: Australia Plastic Soy Sauce Fish Ban Sparks Paper Sachet Trials

- **Micro-Plastic Container Bans Create Barrier Paper Sachet Demand**: As Australian states phase out plastic fish-shaped soy sauce containers, Japanese and Taiwanese converters are sampling high-barrier aqueous-coated tearable paper sachets.
- **Supermarket Kraft Shopping Bag Demand Up +12% MoM**: Holiday retail stocking lifted orders for 80–90g extensible sack kraft bags across Woolworths and Coles by 12% MoM.

6.6 🌏 Southeast Asia Market Scan: Vietnam & Indonesia Emerge as Green Food Packaging Manufacturing Hubs

- **ASEAN Mills Lock In EUDR Compliance Premiums**: With 61 days left before EU EUDR enforcement, Indonesian and Vietnamese mills with 100% GPS polygon-verified plantations secured priority 2027 supply agreements with European food brands.

7. Corporate Strategic Moves & Global Footprint

- **Suzano (B3: SUZB3 / NYSE: SUZ)**: Announced on October 28–29 a +$50/MT November price hike for hardwood pulp in Europe and the Americas (lifting European list to $1,410/MT), demonstrating firm Q4 pricing leadership.
- **Sun Paper (SZSE: 002078)**: Reported Q3 2026 earnings on October 28 with 9M net profit up +16.88% YoY (RMB 921M in Q3), powered by its Laos integrated forest-pulp-paper complex and Shandong/Guangxi specialty paper lines.
- **Smurfit Westrock (NYSE: SW) & International Paper (NYSE: IP)**: SW plunged 10% on October 28 after Q3 earnings missed estimates due to cost inflation and merger friction; IP confirmed on October 30 the accelerated dual-track London spin-off or ~$6B sale of its EMEA unit ahead of its November 3 Capital Markets Day.
- **Clearwater Paper (NYSE: CLW)**: Disclosed on October 27 operational failures at its acquired Augusta bleached paperboard mill and initiated a strategic review.
- **Arauco (Chile) & Veolia (France)**: Veolia secured the industrial water treatment contract for Arauco's 3.5M-MT Sucuriú pulp mill in Brazil (82.5% complete).
- **Taiwan Big 4 (YFY 1907, Long Chen 1909, Cheng Loong 1904, CHP 1905)**: Captured peak Double 11 box shipments, realized +RMB 100/MT containerboard hikes in China, and benefited from Suzano's November pulp price momentum.

8. Strategic Procurement & Decision Matrix

Procurement Category	Market Signal & Source	Strategic Assessment	Executive Actionable Recommendation
Virgin Woodpulp (NBSK / BHKP)	Suzano announces +$50/MT Nov hike in EU/US; port stocks down 16 weeks to 2.018M MT	Global producers show strong supply discipline; Nov Asian import quotes and spot prices will follow higher	**Lock in 65% of Q4–Q1 core pulp volume immediately**: Secure contracts before Asian spot prices fully price in the +$50 global hike.
Containerboard & Medium	Double 11 shipping peak; China +RMB 100 hikes stick; US PCA vs. SW earnings diverge	Asian peak season supports firm board pricing; US buyers can leverage SW/IP restructuring to diversify suppliers	**Maintain safety buffer for holiday boxes**: Execute Asian orders on demand; allocate more US volume to high-utilization regional mills.
Bleached Board & FBB (SBS/FBB)	Clearwater Augusta mill outage tightens US SBS; Sun & Bohui FBB lines full and rising	North American folding carton board tightens short-term; Asian FBB steps up alongside November pulp hikes	**Pre-book 2027 Lunar New Year & Q1 FBB quotas**: Hedge against year-end pulp cost pass-through in food-grade white card.
PFAS-Free Packaging & Molded Fiber	EU PFHxA customs enforce 25 ppb limit; Zhongxin builds 50k-MT Indonesia molded fiber hub	Zero-PFAS compliance and tariff de-risking are now dual imperatives for multinational QSR buyers	**Dual-source Taiwanese barrier board & ASEAN molded fiber**: Lock in CHP CircuWell capacity and establish ASEAN molded fiber backup.
Energy & Papermaking Chemicals	Brent crude builds base at $73.80; Taiwan mills reach 49.2% SRF substitution (steam NT$718/t)	Low petrochemical feedstocks provide an effective cost hedge against rising virgin woodpulp fiber prices	**Enforce Q4 low-oil discount clauses with chemical vendors**: Demand 4–6% reductions on AKD sizing and SBR coating latex contracts.

9. Global Regulatory Shifts & ESG Developments

- **EU PFHxA Restriction (Day 12 of Mandatory Enforcement · Routine Customs Screening)**: Regulation (EU) 2024/2462 (effective October 18, 2026) is now in routine border enforcement across European ports, with customs screening imported burger wraps, bakery bags, and pizza boxes against the 25 ppb total fluorine threshold.
- **EU PPWR Packaging Regulation (Day 79 of Implementation)**: Mandatory enforcement of packaging minimization, Design for Recycling (DfR), and Digital Product Passport (DPP) audits continues across EU member states.
- **China GB 4806.10-2025 Food Contact Coatings (Day 58 of Enforcement)**: Non-fluorinated aqueous barrier coating penetration across Chinese tea and delivery platforms is approaching 60%.
- **EU EUDR Deforestation Regulation (61-Day Countdown)**: With mandatory enforcement starting December 30, 2026, European importers require full plot-level GPS polygon Due Diligence Statements (DDS) for all November–December vessel shipments.
- **Taiwan 2026 Carbon Fee Implementation (63-Day Countdown)**: Taiwanese paper mills elevated SRF biomass co-firing substitution to 49.2% (locking steam at NT$718/t) to secure preferential voluntary reduction rates starting January 1, 2027.

10. Strategic Implications for Taiwan's Paper Industry

1. **Suzano's +$50/MT November Hike Will Ignite a Second Wave of Paper Price Support for CHP (1905)**: Following the September–October pulp rebound that sparked CHP's late-October rally, Suzano's fresh +$50/MT November hike provides strong cost backing for a second wave of cultural, woodfree, and specialty paper price adjustments in November–December.
2. **Emulate Sun Paper's Integrated Moat and PCA's Operational Efficiency**: Both Sun Paper's +16.88% profit growth and PCA's outperformance over Smurfit Westrock stem from high upstream fiber/energy self-sufficiency and disciplined mill utilization. Taiwan mills' push to 49.2% SRF biomass substitution (NT$718/t steam) and overseas vertical integration represent the exact right defense against cost inflation.

3. **Capitalize on EU PFHxA Enforcement and US SBS Tightness to Expand Premium Foodboard Exports**: With European customs strictly blocking fluorinated wraps and Clearwater's Augusta mill outage tightening US SBS supply, CHP's CircuWell and Taiwanese specialty converters should aggressively capture long-term European and North American QSR contracts.

11. Market Transmission Dynamics

- **Global Pulp Producers ➔ Asian Spot ➔ Secondary Paper Hike Transmission**: Suzano announces +$50/MT Nov hike in EU/Americas (EU list $1,410) + China port stocks fall for 16th week to 2.018M MT ➔ China imported NBSK reaches $700/MT, BHKP rises to $632/MT ➔ Reinforces Q4 secondary price hikes across cultural paper, FBB white card (RMB 4,500), and specialty grades.
- **North American Cost Structure ➔ Earnings Divergence Transmission**: Despite sharing the same $975/ST linerboard price and $839/ST spread ➔ Domestic high-efficiency leader PCA (93% rate) beats Q3 estimates ➔ Cross-border consolidator Smurfit Westrock misses Q3 on wood/freight cost inflation and plunges 10% ➔ Prompts IP to accelerate its EMEA (DS Smith) divestiture to refocus on North America.
- **Regulation & Tariffs ➔ Asian Capacity Realignment Transmission**: EU PFHxA zero-fluorine border enforcement + Western trade tariffs ➔ Full order books for Taiwanese PFAS-free barrier board (CHP CircuWell) + China's Zhongxin accelerates its 50,000-MT bagasse molded fiber base in Indonesia.

12. Strategic Calendar & Industry Milestones

Date	Milestone Event & Regulatory Deadline	Strategic Impact & Countermeasure
2026-10-18	**EU PFHxA Ban Mandatory Enforcement (12 Days Active)**	Routine 25 ppb fluorine border checks in EU; CHP CircuWell orders booked to 2027Q1
2026-10-27	**Clearwater Paper Flags Augusta Bleached Board Mill Outage**	Strategic review initiated; North American SBS folding carton board supply tightens
2026-10-28	**Sun Paper Posts Q3 Earnings (9M Net Profit +16.88% YoY)**	Q3 net profit hits RMB 921M, validating Laos integrated forest-pulp-paper moat
2026-10-28	**Smurfit Westrock (SW) Plunges 10% on Q3 Earnings Miss**	Merger friction and fiber/freight inflation compress margins, diverging from PCA beat
2026-10-29	**Suzano Announces +$50/MT Nov Hardwood Pulp Hike**	Lifts European list to $1,410/MT as China port stocks fall for 16th week to 2.018M MT
2026-10-30	**International Paper (IP) Holds Q3 Earnings Call**	Confirms acceleration of EMEA (DS Smith) London spin-off or ~$6B PE sale
2026-11-01	**Suzano November Global Hardwood Pulp Hike Takes Effect**	Elevates Q4 global fiber cost floor, supporting cultural paper and FBB pricing
2026-11-03	**IP Capital Markets Day & Taiwan Mills Oct Revenue Release**	Details IP EMEA separation roadmap; Taiwan Big 4 set to report peak Oct revenues
2026-12-30	**EU EUDR Deforestation Regulation Mandatory (61 Days)**	Nov–Dec shipments to EU require plot-level GPS polygon Due Diligence Statements
2027-01-01	**Taiwan 2026 Carbon Fee Implementation (63 Days)**	Mills leverage 49.2% SRF substitution (steam NT$718/t) for preferential rates

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